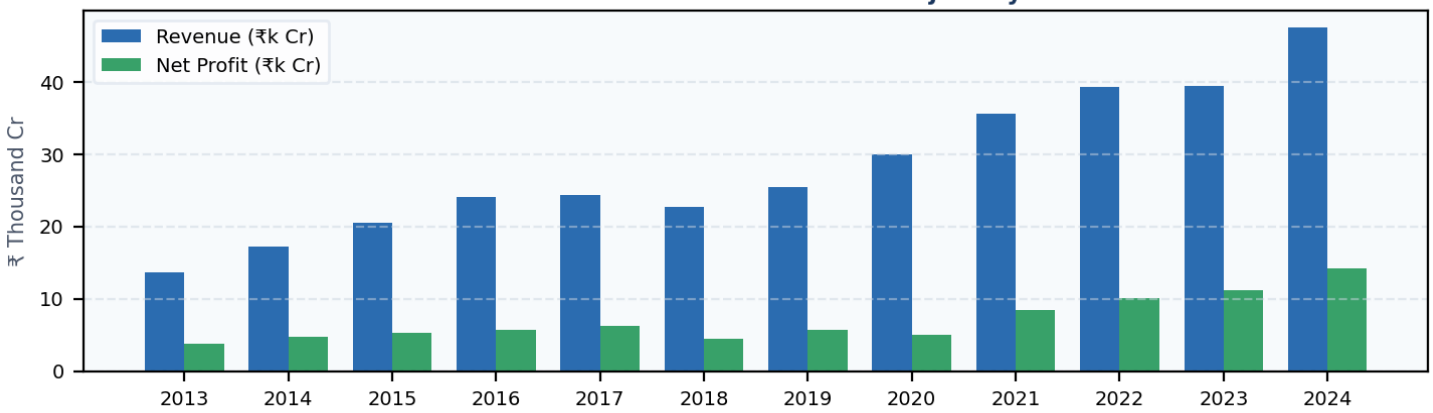
REC Ltd (RECLTD)

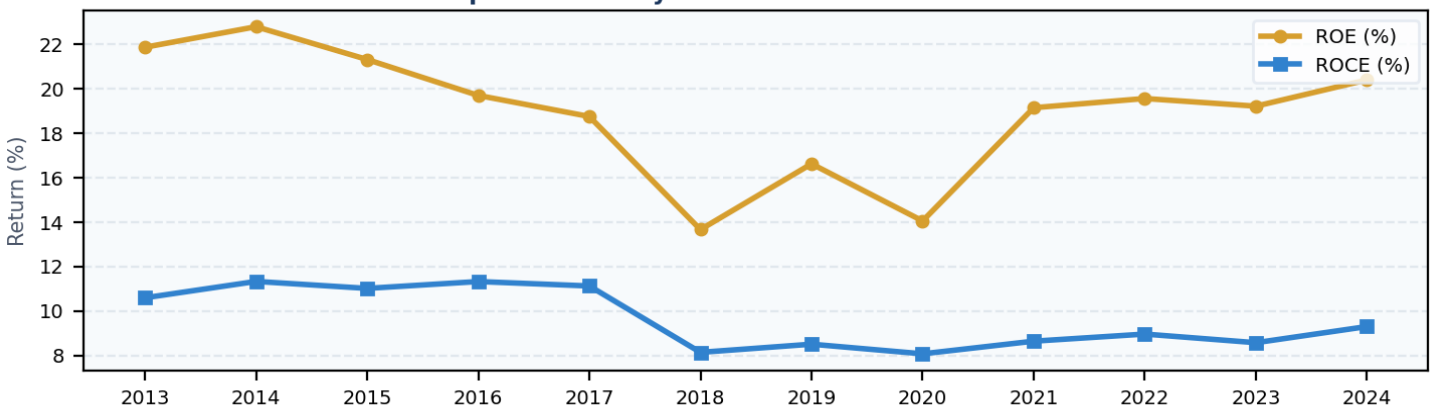
Sector: **Financials** | Sub-Sector: **Speciality Finance** | Nifty 100

MARKET CAP	P/E RATIO	RETURN ON EQUITY
■291,917 Cr	31.5x	20.4%
ROCE	**DEBT TO EQUITY**	**5Y REVENUE CAGR**
9.3%	6.42x	13.3%

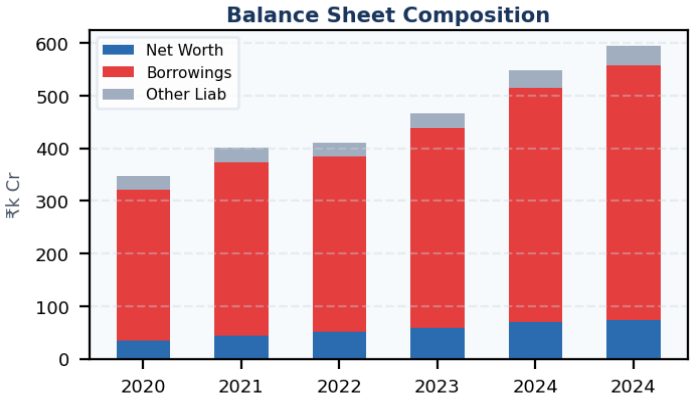
10-Year Revenue & Net Profit Trajectory

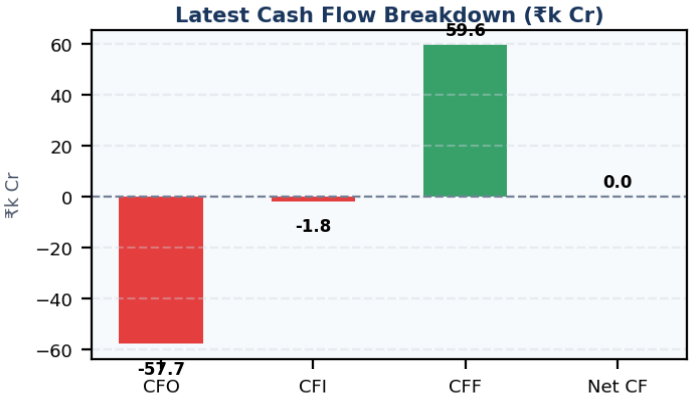


Capital Efficiency: ROE vs ROCE Dual-Axis Trend



Capital Allocation Pattern: Distress Raising Capital





Key Strengths & Growth Drivers (Pros)

- **[+]** Operating profit margin above 25% indicates strong pricing power and cost discipline
- **[+]** Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- **[+]** Revenue growing slower than profits shows improving operating leverage and scale benefits

Risk Factors & Key Concerns (Cons)

- **[-]** Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- **[-]** Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital